

# COMMERCIAL LEASE AGREEMENT

**THIS LEASE AGREEMENT** (this "Lease") is made and entered into as of August 15, 2022, by and between **SEAPORT DEVELOPMENT PARTNERS**, a Massachusetts limited partnership ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

## RECITALS

WHEREAS, Landlord owns that certain mixed-use development known as Seaport Square located in the Seaport District of Boston, Massachusetts; and

WHEREAS, Tenant desires to lease space within said development for the operation of an express-format grocery and convenience store; and

WHEREAS, Landlord agrees to lease such space to Tenant on the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the mutual covenants and agreements herein contained, the parties agree as follows:

## ARTICLE 1 - PREMISES

### 1.1 Demised Premises

Landlord hereby demises and leases to Tenant, and Tenant hereby takes and leases from Landlord, approximately **12,000 square feet** of ground floor retail space (the "Premises"), as shown on the floor plan attached as **Exhibit A**, located at:

**400 Seaport Boulevard**

**Boston, Massachusetts 02210**

**Store ID: S002**

### 1.2 Common Areas

Tenant shall have the non-exclusive right to use all Common Areas, including the underground parking garage (validation system applies), pedestrian walkways, and loading areas, subject to Landlord's reasonable rules and regulations.

### 1.3 Delivery and Loading

Tenant shall have exclusive use of Loading Bay 2 during the hours of 6:00 AM to 10:00 AM daily. All deliveries outside these hours must use the shared loading zone.

## ARTICLE 2 - TERM

## 2.1 Initial Term

The initial term shall be **THREE (3) YEARS**, commencing on September 10, 2022 (the "Commencement Date") and expiring at 11:59 PM on **September 9, 2025** (the "Expiration Date").

## 2.2 Renewal Options

**Tenant shall have one (1) option to renew for an additional three (3) year term**, provided:

- Written notice is given at least 120 days before expiration
- Tenant is not in default
- Base Rent shall increase to market rate but not less than 103% of final year's rent

## 2.3 Early Termination

Given the short-term nature of this Lease, neither party shall have early termination rights except for default or casualty.

# ARTICLE 3 - RENT

## 3.1 Base Rent

Tenant shall pay Base Rent as follows:

**Year 1 (9/10/22 - 9/9/23):** \$42,000.00 per month (\$42.00 per sq ft annually)

**Year 2 (9/10/23 - 9/9/24):** \$43,260.00 per month (\$43.26 per sq ft annually)

**Year 3 (9/10/24 - 9/9/25):** \$44,558.00 per month (\$44.56 per sq ft annually)

## 3.2 Additional Rent - Operating Expenses

Tenant shall pay its Proportionate Share (4.8%) of Operating Expenses for the Building, estimated at \$8.50 per square foot annually, including:

- Common Area maintenance and utilities
- Property management (capped at 4% of revenues)
- Security and concierge services
- Elevator and escalator maintenance
- Insurance and reserves

## 3.3 Real Estate Taxes

Tenant shall pay its Proportionate Share of Real Estate Taxes, currently estimated at \$12.75 per square foot annually.

### **3.4 Percentage Rent**

In addition to Base Rent, Tenant shall pay 2% of Gross Sales exceeding \$6,000,000 annually.

### **3.5 Merchant Association**

Tenant shall pay \$250 monthly to the Seaport Merchant Association for area marketing and events.

## **ARTICLE 4 - USE AND OPERATIONS**

### **4.1 Permitted Use**

The Premises shall be used exclusively as an express-format Skyline Store focusing on:

- Grocery and fresh foods
- Prepared meals and grab-and-go items
- Pharmacy (if properly licensed)
- General convenience merchandise

### **4.2 Hours of Operation**

Tenant shall operate minimum hours of 7:00 AM to 10:00 PM daily. Extended hours permitted with notification to Landlord.

### **4.3 Radius Restriction**

Tenant agrees not to operate another Skyline location within a 1-mile radius during the Term.

### **4.4 Continuous Operation**

Tenant shall continuously operate and shall not "go dark" for more than 30 consecutive days except for remodeling or force majeure.

## **ARTICLE 5 - CONDITION OF PREMISES**

### **5.1 Delivery Condition**

Landlord shall deliver the Premises in "vanilla shell" condition with:

- Concrete floors ready for finishing
- Demising walls constructed
- Basic electrical (400 amp, 3-phase service)
- Water and sewer stubbed to Premises
- Storefront with one entrance

- Fire protection per code

## **5.2 Tenant Improvements**

Tenant shall construct all interior improvements at Tenant's expense per plans approved by Landlord. Landlord provides \$600,000 TI allowance (\$50 PSF).

## **5.3 Architectural Review**

All Tenant improvements must be approved by Landlord's Architectural Review Committee to ensure consistency with Seaport aesthetic standards.

# **ARTICLE 6 - MAINTENANCE AND REPAIRS**

## **6.1 Tenant Maintenance**

Tenant shall maintain:

- Interior of Premises including all finishes
- Storefront glass and doors
- All Tenant-installed equipment and fixtures
- Plumbing and electrical within Premises
- Pest control within Premises

## **6.2 Landlord Maintenance**

Landlord shall maintain:

- Building structure, roof, and envelope
- Common Areas and parking facilities
- Base building mechanical and electrical systems
- Elevators and life safety systems

## **6.3 HVAC Responsibility**

**TENANT shall be responsible for:**

- All HVAC maintenance and repairs under \$5,000 per occurrence
- Regular filter changes and seasonal maintenance
- Annual service contracts with qualified vendors

**LANDLORD shall be responsible for:**

- HVAC repairs exceeding \$5,000 per occurrence
- Complete HVAC unit replacement when necessary
- Base building ventilation systems

## **ARTICLE 7 - UTILITIES AND SERVICES**

### **7.1 Separately Metered Utilities**

Tenant shall establish accounts and pay directly for:

- Electricity (separately metered)
- Natural gas (if applicable)
- Telephone/internet/cable
- Waste removal services

### **7.2 Proportionate Share Utilities**

Tenant shall pay its Proportionate Share of:

- Water and sewer charges
- Common Area electricity
- Building-wide services

### **7.3 Building Services**

Landlord provides:

- 24/7 security and building access
- Passenger and freight elevator service
- Pest control for Common Areas
- Window washing (exterior only)

## **ARTICLE 8 - INSURANCE AND INDEMNITY**

### **8.1 Tenant's Insurance Requirements**

- General Liability: \$3,000,000 per occurrence / \$5,000,000 aggregate
- Property: Replacement cost coverage for improvements and contents
- Business Interruption: 6 months' rent and expenses
- Liquor Liability: \$1,000,000 (if applicable)

- Cyber Liability: \$2,000,000

## **8.2 Additional Insured**

Landlord, property manager, and mortgagee shall be additional insureds on liability policies.

## **8.3 Waiver of Subrogation**

Mutual waiver of subrogation applies to all property insurance claims.

## **8.4 Indemnification**

Each party indemnifies the other against claims arising from their negligence, except for consequential damages.

# **ARTICLE 9 - DAMAGE AND DESTRUCTION**

## **9.1 Casualty**

If Premises are damaged:

- **Less than 50% damaged:** Landlord shall restore within 180 days
- **More than 50% damaged:** Either party may terminate with 30 days' notice
- Rent abates proportionately during restoration

## **9.2 Tenant's Property**

Landlord has no obligation to restore Tenant's trade fixtures, inventory, or improvements beyond the TI Allowance work.

# **ARTICLE 10 - ASSIGNMENT AND SUBLETTING**

## **10.1 Landlord's Consent**

No assignment or subletting without Landlord's prior written consent. Landlord may recapture space if Tenant requests to assign or sublet more than 50%.

## **10.2 Permitted Transfers**

Consent not required for transfers to:

- Affiliates with equal or greater net worth
- Purchaser of substantially all assets
- Entity resulting from merger where Tenant is surviving entity

## **10.3 Transfer Premium**

50% of any rent or other consideration exceeding Tenant's costs shall be paid to Landlord as Additional Rent.

## **ARTICLE 11 - DEFAULTS AND REMEDIES**

### **11.1 Tenant Events of Default**

- Failure to pay rent within 5 days after written notice
- Failure to cure other breaches within 20 days after notice
- Abandonment or cessation of operations
- Insolvency, bankruptcy, or assignment for creditors

### **11.2 Landlord Remedies**

Upon default, Landlord may:

- Terminate Lease and recover possession
- Relet and recover deficiency
- Accelerate up to 6 months' rent
- Perform and charge Tenant 115% of costs

### **11.3 Landlord Default**

If Landlord defaults and fails to cure within 30 days, Tenant may:

- Perform and offset reasonable costs
- Seek injunctive relief
- Claim actual damages (no consequential)

## **ARTICLE 12 - MISCELLANEOUS PROVISIONS**

### **12.1 Estoppel Certificates**

Within 10 business days of request, Tenant shall provide estoppel certificates to Landlord, lenders, or purchasers.

### **12.2 Financial Statements**

Tenant shall provide annual financial statements within 90 days of fiscal year-end and quarterly sales reports.

## 12.3 Sustainability

Tenant shall comply with Landlord's sustainability programs including:

- Recycling and composting requirements
- Energy conservation measures
- LEED operational guidelines

## 12.4 Parking

Tenant entitled to 5 reserved spaces in garage at \$350/month per space. Validation for customers at posted rates.

## 12.5 Signage

Tenant may install signage per Landlord's criteria:

- Building standard channel letters on storefront
- Blade sign (if approved by city)
- Directory listings

## 12.6 SNDA

Lease is subordinate to existing and future mortgages. Landlord shall obtain SNDA from current lender within 60 days.

## 12.7 Security Deposit

None required given Tenant's creditworthiness and guaranty.

## 12.8 Guaranty

This Lease is guaranteed by Skyline Stores' parent company per the form attached as **Exhibit G**.

## 12.9 Notices

### To Landlord:

Seaport Development Partners  
250 Summer Street, Suite 300  
Boston, MA 02210  
Attn: Asset Manager

### To Tenant:

Skyline Stores

500 Commerce Drive  
Dallas, TX 75201  
Attn: Real Estate Legal Department

## **12.10 Applicable Law**

Governed by Massachusetts law. Disputes resolved in Suffolk County courts.

## **12.11 Brokers**

Landlord represented by CBRE. Tenant represented by JLL. Landlord pays all commissions per separate agreement.

## **EXECUTION**

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above.

### **LANDLORD:**

SEAPORT DEVELOPMENT PARTNERS

By: \_\_\_\_\_

Name: Patricia Chen

Title: Managing Partner

Date: August 15, 2022

### **TENANT:**

SKYLINE STORES

By: \_\_\_\_\_

Name: Robert Thompson

Title: EVP Real Estate

Date: August 15, 2022

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## **LIST OF EXHIBITS**

**Exhibit A** - Floor Plan of Premises

**Exhibit B** - Legal Description

**Exhibit C** - Work Letter and TI Allowance Terms

**Exhibit D** - Signage Criteria and Specifications

**Exhibit E** - Rules and Regulations

**Exhibit F** - Form of Estoppel Certificate

**Exhibit G** - Corporate Guaranty

**Exhibit H** - Parking Layout and Reserved Spaces

**Exhibit I** - Sustainability Requirements

**Exhibit J** - Base Building Specifications